International Commentary — October 13, 2025

U.S.-China Trade War 2.0 Scenario Analysis Update

Summary

U.S.-China trade tensions are again front and center following the developments of late last week. China's plan to impose strict export controls, especially on rare earth minerals, were matched by new tariff threats from President Trump. While rhetoric eased this past weekend, a November 1 target date for the imposition of Chinese export restrictions and higher U.S. imposed tariffs elevate the probability of the U.S. and China slipping into a downside trade war scenario. In the context of U.S.-China tensions, mid-October to November 1 is a lot of time with many potential twists and turns along the way. In that sense, we updated our U.S.-China Trade War 2.0 scenarios for how China's economy and currency could perform should relations deteriorate, improve, or hold steady. For now, we believe the U.S. and China will remain in our "restrained trade war" base case scenario, although risks are tilted toward our downside scenario materializing.

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Scenario Description: Tariff rates are adjusted higher and new non-tariff trade barriers go into effect. Escalatory rhetoric persists, and both China and the U.S. take steps to form strategic alliances with foreign nations as U.S.-China led global fragmentation deepens.

Economic Outlook: Intensifying trade tensions and structural issues weigh on China's economy. However, authorities' rethink the tariff playbook and deploy more fiscal stimulus to support domestic consumption. Looser fiscal policy combined with more accommodative monetary policy only partially offsets tariffs and China misses its ~5% growth target.

- **2025 GDP Growth:** ~4.5%
- **2026 GDP Growth:** ~4.0%

FX Outlook: PBoC guides renminbi weaker to maintain trade competitiveness, but a one-off devaluation is not delivered. Rather, a managed, yet still modest, RMB depreciation materializes.

- **Q4-2025:** CNH7.20
- **Q2-2026:** CNH7.35
- **Balance of Risk:** Greater RMB depreciation

Scenario Description: Tariff rates are not adjusted, but trade discussions are held. While no "deal" is made, escalatory action and rhetoric is stable. U.S.-China tensions persist; however, Trade War 2.0 hits a ceiling, and the "trade truce" continues to be extended.

Economic Outlook: Tariffs weigh on China's growth prospects, but a stable Trade War 2.0 leads to only modest disruptions. Weak domestic demand, combined with a correcting local real estate sector, are the primary drivers of sluggish growth, not tariffs. Modest fiscal and monetary stimulus is offered, and China's ~5% growth target for 2025 is achieved.

- **2025 GDP Growth:** ~5.0%
- **2026 GDP Growth:** ~4.5%

FX Outlook: Sentiment is stable and RMB modestly strengthens. PBoC policymakers maintain their financial stability preference and exhibit little appetite for RMB depreciation nor FX volatility.

- **Q4-2025:** CNH7.10
- **Q2-2026:** CNH7.06
- **Balance of Risk:** Weaker RMB

Scenario Description: U.S.-China agree to a "Phase 2" trade deal. A "Phase 2" deal is centered around China pledging to buy U.S. agriculture products, lower tariff & non-tariff trade barriers and make rare earth minerals more available.

Economic Outlook: Recent local economic and markets momentum is sustained. China's policy mix remains modestly accommodative, although reduced trade tensions does not incentivize aggressive fiscal nor monetary support. China still pursues a domestic demand driven economy, but pressure to rebalance the economy is not as acute.

- **2025 GDP Growth:** >5.0%
- **2026 GDP Growth:** ~5.0%

FX Outlook: RMB experiences a relief rally and trends stronger against USD. Financial stability remains the priority and PBoC policymakers deploy tools to keep RMB on a strengthening trajectory.

- **Q4-2025:** CNH7.05
- **Q2-2026:** CNH7.00
- **Balance of Risk:** Stronger RMB

Source: Wells Fargo Economics

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